

DSCR RESIDENTIAL 5-10 UNITS AND MIXED-USE PROPERTIES 2-8 UNITS

INELIGIBLE STATES

- LTVs must be reduced by 5% in MS.
- Effective 7/1/2023, Foreign Nationals and Non-Permanent Resident Aliens from the Republic of China are ineligible in the State of Florida.

DEBT SERVICE COVERAGE RATIO

- Minimum DSCR ≥ 1.00
- DSCR = Eligible monthly rents / PITIA

PROPERTY RENTAL INCOME

- For a leased property the DSCR is based upon the lesser of the estimated market rents or the leases. **On purchase transactions, copies of the leases are not required.**
 - Properties with expired leases that have converted to month to month per the terms of the lease will require bank statements for the lesser of two months or the time period after the lease expired.
- Vacant Unit(s) – Use 75% of the market rents to qualify.
 - Max 1 vacancy on a refinance of a 2-3 Unit property.
 - Max 2 vacancies on a refinance of a 4+ Unit property.
 - On a purchase, and/or a refinance situation where a property was recently rehabbed, with evidence the property is currently listed for rent, it is not considered unleased, and it is permissible for all units to be vacant at the time of purchase or refinance, provided all units are in lease-ready condition.
- Reduce Qualifying Rents by any management fee reflected on appraisal report.
- 2-8 Units Mixed Use: income from commercial space cannot exceed 49% of the total property income.

LEASE AND OCCUPANCY REQUIREMENTS

- For Purchase, Rate/Term Refinance and Cash-Out transactions, all units must be either leased or in lease ready condition meaning the properties have been cleaned, no renovations or repairs to the properties are needed and the properties are immediately available to be leased to an eligible tenant.
 - Short-term rental use/short-term rental income is not permitted.
 - Corporate lease agreements are acceptable with lease terms consistent with typical market standards and will be subject to standard market rent verification.
 - Lease agreements that allow single room occupancy or boarder leases are not permitted.
 - Third party sale and leaseback agreements or contract for deed transactions will not be permitted.
 - All leases must be in US Dollars.
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ELIGIBLE TENANTS

- Neither the borrower(s) nor the borrower's immediate family shall at any time occupy the residential units.
- Borrower affiliated tenants are defined as any borrower or guarantor, any affiliate of the borrower/guarantor, any holder of a direct or indirect interest in Borrower or such affiliate, any officer, director, executive employer, or manager of the borrowing entity, and any family member (including spouse, siblings, ancestors, and lineal descendants) of any person or entity described previously.
- Borrowers must attest that all residential tenants are non-borrower affiliated.
- Commercial units may be occupied by the borrower's business, however in that instance the lesser of market rents or the amount of rent from the lease will be used when calculating the DSCR for the borrower occupied units.

INVESTOR EXPERIENCE

- First time investors not permitted for 5-10 Unit Residential or 2-8 Units Mixed Used,
- Experienced investors only with a history of owning and managing commercial or residential real estate for at least 1 of the last 3 years.

HOUSING HISTORY

- 0x30x24 housing history is required.

RESERVES

- Loan Amt ≤ \$1.5M: 6 Months PITIA
- Loan Amt > \$1.5M - \$2.0M: 9 months PITIA
- Loan Amt > \$2.0M - \$2.5M: 12 Months PITIA
- Loan Amt > \$2.5M - \$3.0M: 12 Months PITIA
- Cash out may be used to meet reserve requirements.

APPRAISAL REQUIREMENTS

Residential 5-10 units:

- FHLMC 71A
 - FHLMC 71B for loan amounts < \$750K (Correspondent only)
 - Narrative report may be used but is not required.
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Mixed Use 2-8 Units:

- FHLMC 71A
- FHLMC 71B for loan amounts < \$750 (Correspondent only)
- General Purpose Commercial Forms (ex. GP Commercial Summary Form) or Narrative report

For loan amounts > \$2M, a second appraisal is not required if the 71A or Commercial Narrative report is provided.

The following are required with each report:

- Full Interior Inspection of each unit
- Rent roll.
- Income and Expense Statement
- Photos of subject including exterior/interior and street scene
- Aerial photo
- Sketch or floor plan of typical units
- Map
- Appraiser qualifications

APPRAISAL REVIEW

- Commercial Broker Price Opinion (BPO) required based upon sales approach is required unless two full appraisals are provided.
- In Pennsylvania and North Carolina, a commercial evaluation product is used instead of a BPO.
- If the value from the BPO is more than 10% below the appraised value, then the value of the BPO is used for LTV purposes.

SECOND APPRAISAL

- Required for loan amounts > \$2.0m
 - 2nd appraisal not required when Form 71A Multifamily or Commercial Narrative report is provided.

PROPERTY REQUIREMENTS

- Residential 5-10 units
 - Mixed Use 2-8 Units
 - For properties with less than 5 units, at least one must be commercial.
 - 2-3 Units: Max 1 commercial unit
 - 4-5 Units: Max 2 commercial units
 - 6-8 Units: Max 3 commercial units
 - Commercial space not to exceed 49% of the total building area.
 - Commercial space limited to the first floor only.
 - Residential or commercial zoning acceptable.
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- No fair or poor ratings
- No environmental issues (storage or use of hazardous material, such as dry cleaners/laundromats)
- No health or safety issues as noted by the appraiser such as broken windows, stairs, etc.
- No excessive deferred maintenance that could become a health and safety issue for tenants.
- No structural deferred maintenance such as foundation, plumbing, roof, electrical, etc.

Minimum property requirements:

- Minimum of 400 square feet per unit.
- Must be accessible and available for year-round residential use.
- Contain a full kitchen and bathroom.
- Represent the highest and best use of the property; and
- Not contain any health or safety issues.

PROHIBITED PROPERTY USE

Properties that contain one or more commercial establishment in any of the following businesses are prohibited:

- Adult Activities.
- Any activity not permitted by law, ordinance, or regulation.
- Day care or childcare.
- Gambling activities.
- Manufacturing, distribution, and warehouse.
- Marijuana related activities.
- Medical activities not under the supervisor of a licensed doctor, dentist, chiropractor, psychologist, nurse practitioner, or nutritionist.
- Transient boarding, rooming house or similar.
- Vehicle repair or vehicle related included garages.
- Dry Cleaners or laundromats.
- Other property uses outside of character for the neighborhood in which the property is located, which present higher than ordinary risks for safety, or which are controversial within their community.

INSURANCE

See [Property Insurance](#) and [Title Insurance](#) for complete requirements.

In addition, Rent Loss Insurance for the subject property is required and must equal at least 6 months of PITIA. Blanket policies covering the subject property are permitted.

Investor – DSCR (5-10 Units or Mixed Use 2-8 Units)

Investment Property (Business Purpose)				
Maximum LTV/CLTVs		>=1.00 DSCR		
Credit Score	Loan Amount	Purchase	R/T Refinance	Cash-Out Refinance
720+	<=1,500,000	75	75	70
	1,500,001 – 2,000,000	75	70	65
	2,000,001- 2,500,000	70	70	65
	2,500,001 – 3,000,000	70	70	65
700+	<=1,500,000	75	75	65
	1,500,001 – 2,000,000	70	70	65
	2,000,001- 2,500,000	65	65	60
	2,500,001 – 3,000,000	65	65	60
680 - 699	<=1,500,000	70	65	65
	1,500,001 – 2,000,000	65	60	60
	2,000,001- 2,500,000	65	60	60
	2,500,001 – 3,000,000	65	60	60
660-679	<=1,500,000	65	65	60
	1,500,001 – 2,000,000	60	60	55
Housing History		Geographic Restrictions		Investor Experience
• 0x30x24				
Housing Event Seasoning				
• BK/FC/SS/DIL/Mod: 24 Mos		• FL: Non-Permanent Resident Aliens from China are ineligible		• No First Time Investors • Experienced Investor: Borrower must have a history of owning and managing commercial or residential real estate for at least 1 year in the last 3 years
		• HI: Non-licensed State		
		• MD: Baltimore City Row Homes are ineligible.		
		• NY: STRs in the 5 NYC Boroughs are ineligible		
General Requirements				
Product Type	• 40-Yr Fixed, 30-Yr Fixed, 15-Yr Fixed, 40 YR I/O, 30 YR I/O.			
Interest Only	• Min Credit Score: 660 • Borrower to qualify using the IO payment based on the qualifying rate (Greater of the fully indexed rate or note rate). • Max LTV: 75%			
Loan Amounts	• Min: \$250,000 and Max \$3,000,000 Loan sizes under \$400,000 require a 5% reduction to LTV			
Occupancy	• Investment Properties (Business Purpose)			
Loan Purpose	• Purchase, Rate/Term, and Cash Out			
Cash-Out	• Max cash-out: \$1,000,000			
Foreign National	• Min DSCR >= 1.00 LTV requirements: • Min Score: 700 if using US Credit • <= \$2.0M = Purch & R/T: 70% LTV or Cash-Out: 65% LTV • Foreign Credit is permitted. • > \$2.0M - \$2.5M = Purch & R/T: 65% LTV or Cash-Out: 60% LTV • Reserves: 12 months PITIA • > \$2.5M - \$3.0M = Purch & R/T: 60% LTV or Cash-Out: 55% LTV			
Property Type	• Residential 5-10 Units • Mixed Use 2-8 units. For properties with less than 5 units, at least 1 unit must be commercial. o 2-3 Units: Max 1 commercial unit o 4-5 Units: Max 2 commercial units o 6-8 Units: Max 3 commercial units			

	○ Commercial space must not exceed 49% of the total building area
Property Requirements	• Minimum 400 square feet per unit • Be accessible for year-round residential use. • Contain a full kitchen and bath. • Represent highest and best use of the property. • Not contain any health or safety issues
Property Condition	• No fair or poor ratings • No environmental issues (Storage or use of hazardous material, ex. Dry Cleaners, Laundromat) • No health or safety issues as noted by the appraiser (ex. Broken windows, stairs, etc.) • No excessive deferred maintenance that could become a health or safety issue for tenants. • No structural deferred maintenance (ex. Foundation, roof, electrical, plumbing)
Unleased Units	• Maximum 1 vacant unit on a 2-3 Unit property; 2 vacancies on 4+ units. Note that properties are permitted to be delivered vacant on purchase transactions. • Unleased units must be in lease ready condition; units cannot be undergoing rehab, etc.

Appraisals	<u>Residential 5-10 units:</u> - FHLMC 71A - FHLMC 71B for loan amounts < \$750K (Correspondent only) - Narrative report may be used but is not required. <u>Mixed Use 2-8 Units:</u> - FHLMC 71A - FHLMC 71B for loan amounts < \$750 (Correspondent only) - General Purpose Commercial Forms (ex. GP Commercial Summary Form) or Narrative report For loan amounts > \$2M, a second appraisal is not required if the 71A or Commercial Narrative report is provided. The following are required with each report: - Full Interior Inspection of each unit - Rent roll. - Income and Expense Statement - Photos of subject including exterior/interior and street scene - Aerial photo - Sketch or floor plan of typical units. - Map - Appraiser qualifications BPO to be ordered on all transactions with the exception of those including two full appraisals.		
	Declining Markets Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV.		
	Rural Property Up to 2 acres, not meeting the rural definition, permitted		
	Income Requirements – DSCR (5-10 Units or Mixed Use 2-8 Units)		
	Income	- Use lower of Estimated market rent or lease agreement on a refinance. - Purchases use the estimated market rent. - For leases that have converted to month-to-month, provide 2 months bank statements to support rental income. - Vacant unit(s) – use 75% of market rents. Max 1 vacancy on 2–3-unit properties or 2 vacancies on 4+ units. - Reduce qualifying rents by any management fee reflected on the appraisal report. 2-8 Mixed Use: Income from commercial space must not exceed 49% of the total property income. - Minimum DSCR >=1.00	
Underwriting Requirements – DSCR (5-10 Units or Mixed Use 2-8 Units)			
Credit Score	Middle of 3 scores or lower of 2 of all Borrowers	Reserves	- Loan Amt <= \$1.5M: 6 Months PITIA - Loan Amt > \$1.5M - \$2.0M: 9 months PITIA - Loan Amt > \$2.0M - \$2.5M: 12 Months PITIA - Loan Amt > \$2.5M - \$3.0M: 12 Months PITIA - Cash out may be used to meet reserve requirements
Tradelines	- All borrowers have 3 scores: or - Min: 2 open and reporting 24-months; or 3 open and reporting 12-months.	Gift Funds	- Allowed after min 10% borrower contribution. - Cannot be used to meet reserve requirements
Assets	30-day asset verification required	Age of Documentation	- Credit - 120 days - Income and Assets - 90 days
Prepayment Penalty	- Required on Investment Properties when permitted. - See PPP Requirements Matrix		